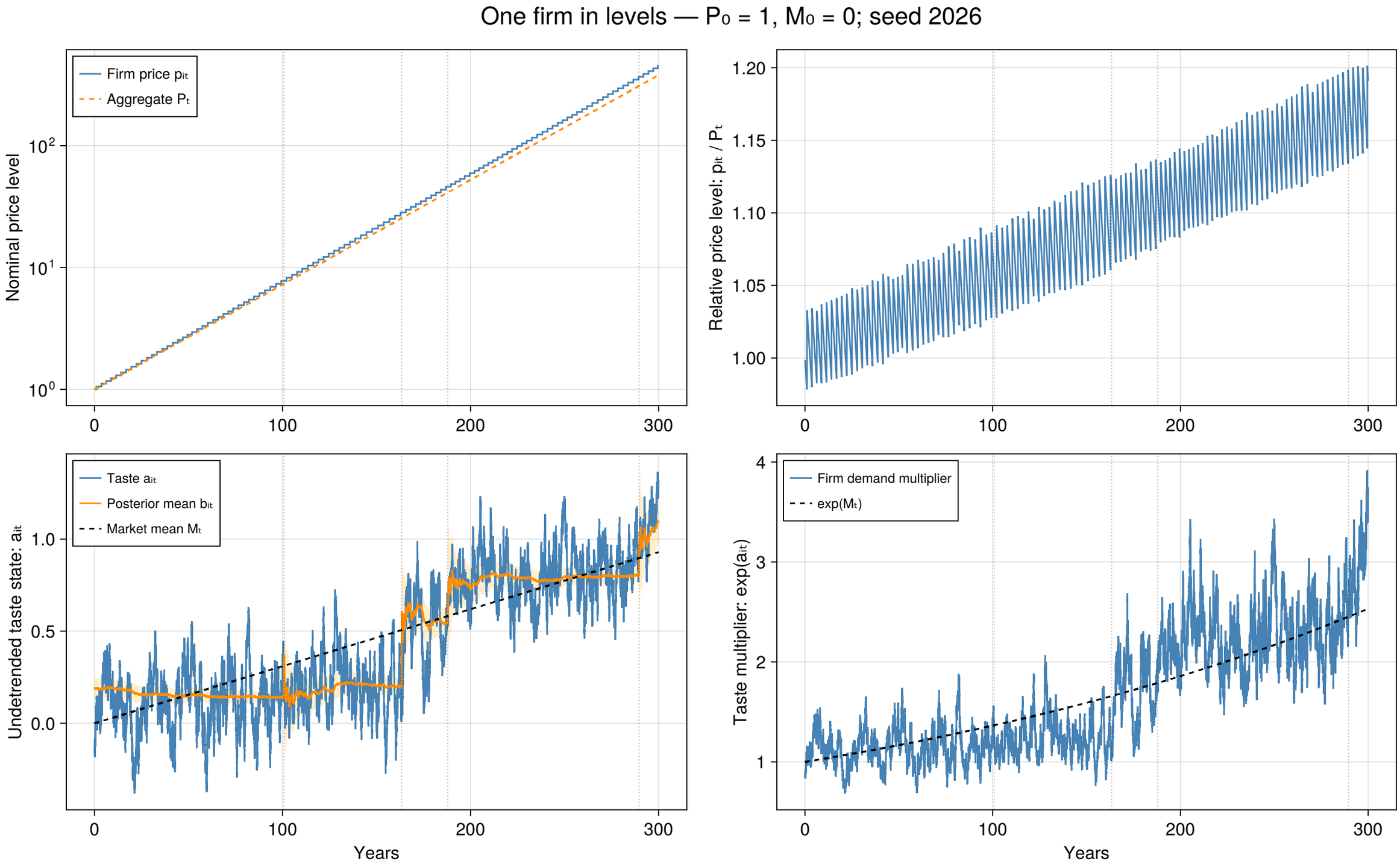

One firm in levels — P₀ = 1, M₀ = 0; seed 2026
Firm price pᵢₜ
Aggregate Pₜ
Nominal price level
Relative price level: pᵢₜ / Pₜ
Taste aᵢₜ
Posterior mean bᵢₜ
Market mean Mₜ
Undetrended taste state: aᵢₜ
Firm demand multiplier
exp(Mₜ)
Taste multiplier: exp(aᵢₜ)
Years
Years
Nominal price panel uses a logarithmic axis; dotted vertical lines mark innovation successes.